



Artificial Intelligence as an Instrument of National Power*

AI is becoming the engine that drives all of America's key instruments of national power. AI is so fundamental that it must be treated as an important part of the bedrock of American power and as a cornerstone of America's arsenal of democracy. It is therefore critical for the United States to ensure that our private sector, supported by providers of Trusted Capital, maintains its leadership on AI globally, and that government and the private sector work together to ensure that this lead is protected.

This lead on AI, if effectively maintained, can serve as both a critical edge for our nation and its allies, and as a deterrent against our adversaries. It can also lead to the broad deployment and use of AI for the betterment of all mankind. To that end, the United States must ensure that, just as we created strong alliances based on geography and military capability after WWII, that we now lead the creation of even more powerful alliances around cyber and AI innovation built on joint investment and technological collaboration.

For well over two decades, Paladin Capital Group (Paladin) has invested in cutting-edge technologies to safeguard the United States and our allies. These investments help ensure that the United States maintains technological superiority over our adversaries in order to protect our nation, our people, and our economic system. In this way, Paladin defends the cause of freedom and democracy around the world, while also working to produce top tier investment results for our limited partners.

American innovation depends, at its core, on free markets and private capital flows. Paladin firmly believes that private capital can and should defend the very nation and economic system that offers us the privilege of investing capital in free markets to create massive innovation. As a result, over the course of more than two decades of investing, Paladin has put to work a very significant amount of global capital in dual-use innovations, and are raising our sixth fund that will put more new capital to work, bringing to market new capabilities for protecting American and allied critical infrastructure, defending our nation in the cyber domain, maintaining leadership in artificial intelligence (AI) and cybersecurity globally, providing the men and women defending our nation the best technologies available, making sure that our nation's human capital is protected against both online and biological threats, and ensuring that we are able to innovate rapidly in all of these domains.

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Paladin Shares the Administration’s Views on AI, Investment Policy, and the Threat Posed by American Adversaries Like China.

Paladin’s approach directly aligns with the President’s Executive Order on Removing Barriers to American Leadership in Artificial Intelligence and the President’s America First Investment Policy. Specifically, Paladin shares the White House’s view that it is the “strength of our free markets, world-class research institutions, and entrepreneurial spirit” that has put the United States at the forefront of AI innovation globally, and that it will benefit the United States to “sustain and enhance America’s global AI dominance to promote human flourishing, economic competitiveness, and national security.”¹

Foreign adversaries like China are consistently promoting autocracy and seeking to co-opt our cyber infrastructure, whether through hacking, direct investment, or other approaches. Paladin’s approach to investing provides a counterweight to those efforts.

There is no question that we face a serious national security threat posed by “[c]ertain foreign adversaries, including the People’s Republic of China (PRC), [that] systematically direct and facilitate investment in United States companies and assets to obtain cutting-edge technologies, intellectual property, and leverage in strategic industries” and that China is “increasingly exploiting United States capital to develop and modernize its military, intelligence, and other security apparatuses, which poses significant risk to the United States homeland and Armed Forces of the United States around the world.”²

When it comes to AI specifically, Paladin agrees with the Administration that America’s “open investment environment [] help[s] ensure that artificial intelligence and other emerging technologies of the future are built, created, and grown right here in the United States,” and that we ought “make the United States the world’s greatest destination for investment dollars.”³

Paladin likewise shares the White House’s view that “America’s investment policy is critical to our national and economic security.”⁴ And Paladin has long invested based on the view that “[t]he United States has the world’s most attractive assets, in technology and across our economy,” that “[e]conomic security is national security,” and that America’s “strong, open investment environment [] benefits our economy and our people, while enhancing our ability to protect the United States from new and evolving threats.”⁵

¹ The White House, *Removing Barriers to American Leadership in Artificial Intelligence* §§1-2 (Jan. 23, 2025), available online at <<https://www.whitehouse.gov/presidential-actions/2025/01/removing-barriers-to-american-leadership-in-artificial-intelligence/>>.

² *Id.* at §1

³ *Id.* at §2

⁴ The White House, *America First Investment Policy* (Feb. 21, 2025) §1, available online at <<https://www.whitehouse.gov/presidential-actions/2025/02/america-first-investment-policy/>>.

⁵ *Id.*

Paladin is Working with Other Leading National Security Investors to Commit Publicly to Investing in American and Allied Capabilities and Not Investing in Adversary Capabilities

Private capital and technology must be brought to bear on the critical national threats facing our nation, including in the cyber domain, and it is only when industry and government come together that we can most effectively defend our nation. This means, on the private sector side, that investors and innovators must put their money and effort into building technologies, including advanced AI capabilities, that will defend America and our allies, while also ensuring our adversaries cannot get their hands on these advanced technologies.

That is why, in 2024, Paladin began working with a group of defense, cyber, AI, and technology-focused investors across the nation to voluntarily commit to certain core principles reflecting these very ideas. The members of this group—which now includes nearly two dozen global firms⁶ that collectively have tens of billions of dollars of assets under management—have all publicly indicated that they will invest in technologies and capabilities that enhance the defense and national security interests of the United States and our allies,⁷ and that they will not make investments in companies or founders that would undermine these interests,⁸ including by selling to American adversaries like China.⁹ Likewise, these investors have also publicly stated that they will not invest alongside investors from adversary nations like China.¹⁰

These voluntary commitments come not from any obligation to governments, but from a view that free and open societies grounded in economic liberty are the engine that drives technological innovation and the expansion of economic opportunities for all people around the globe,¹¹ and that investors of private capital should defend these societies and their economic and political system against our enemies.

The commitments also come from the perspective that investors also have a responsibility and obligation to invest in a manner that ensures the highest possible returns, while also ensuring that our adversaries and criminal enterprises cannot exploit or use these technology investments against our nation, including our people, our companies, or our government, nor against our allies.¹²

And these commitments come from the view that advanced technologies, including AI, are likely to be deployed most rapidly and effectively when the technologies are trusted by end users and protect those users and their data effectively, as well as when these technologies are protected against theft and misuse by adversaries and competitors, particularly when such protections are part of their foundational design.

⁶ See Trusted Capital Group, *Investment Principles and Commitments*, at Signature Block, available online at <<https://www.paladincapgroup.com/investment-principles-and-commitments/>>.

⁷ *Id.* at Commitment 13.

⁸ *Id.* at Commitment 14.

⁹ *Id.* at Commitments 6 & 7.

¹⁰ *Id.* at Commitment 9.

¹¹ *Id.* at Investment Principles.

¹² *Id.*

Likewise, to effectively defend our nation in an increasingly competitive global environment, the government must have investors and innovators at the table when confronting critical national security threats and identifying the government and society's technological needs. Actively integrating investors and innovators in the government's work to defend the nation is essential because it allows the government and industry to rapidly identify cutting-edge capabilities in the private sector to counter these threats, particularly in AI.

Government operations must also fundamentally transform by embracing greater risk tolerance, making significant investments, and forming close partnerships with cutting-edge AI investors and innovators. These partnerships will strengthen our nation and its allies against potential adversaries.

Protecting Our Edge in AI is Also Critical to Defending Our Nation and Its Critical Infrastructure

The power of AI must also be used by the government and the private sector to defend our nation and our critical infrastructure. The recent Salt Typhoon and Volt Typhoon campaigns by Chinese nation-state hackers demonstrate that countries like China are no longer content to simply steal intellectual property or engage in targeted surveillance. Rather, they have moved to a new era of stealth cyber intrusions that will be fueled by AI technologies to make it even more difficult to defend against and now also seek to deploy widespread collection capabilities and to preposition tools in our networks that can disrupt or destroy our nation's critical infrastructure. This effort to use our own critical infrastructure against us and to hold such critical infrastructure at risk is a fundamental change in our adversaries' cyber posture.

Likewise, adversaries like China seek to directly embed their capabilities in U.S. infrastructure, from our ports to our telecommunications networks through investments and the sale of technology to American companies and state and local governments.

We must actively work to stop these investments by our adversaries, deny them access to American and allied technologies, protect our edge in AI, including by securing our AI systems, and deploy advanced AI capabilities to defend our networks and critical infrastructure. Private sector investors and innovators are working in all of these areas, and the government should incentivize the creation and use of best-in-breed AI technology to protect government systems and our critical infrastructure.

Paladin's AI Policy Recommendations

To achieve these goals, Paladin believes that the AI Action Plan should include provisions that ensure the government:

- (1) Incentivizes investors and innovators to build and deploy advanced AI capabilities, including security technology related to AI, that will defend America and our allies and create jobs in the United States, including by providing tax incentives for such advanced AI and security innovation.

- (2) Protects our national security and strengthens cybersecurity by ensuring our adversaries cannot get their hands on critical AI technologies, including by working closely with investors and innovators and sharing information with industry and investors about the threats the United States faces, specifically identifying organizations that are tied to American adversaries, and ensuring that our allies and partners do not undercut American efforts by selling advanced AI technology to our adversaries.
- (3) Ensures that investors and innovators, particularly those that commit to investing in and building AI capabilities in America's interest, including security technology related to AI, are routinely at the table when it comes to understanding the threats facing our nation and the government's specific technology needs, so that these investors and innovators can help identify—or create—the very AI innovations needed to meet such threats.
- (4) Streamlines how government agencies, including those in the defense and intelligence sectors, purchase advanced AI technology, to ensure that these organizations are more willing to take risks, make big bets, and partner closely with investors and innovators that commit to investing in and building AI capabilities in America's interest, particularly those working at the cutting-edge of AI and building AI-related security technologies.
- (5) Defends the nation from AI-powered cyber attacks by incentivizing the use of best-in-breed AI technology to defend government systems and our nation's critical infrastructure.